Lazada: Turning customer trust into premium growth

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Executive Summary

Situation

How can LazMall differentiate its offering to build lasting loyalty among Thailand's current and aspiring premium consumers?



Solution

The LazMall Select Subscription

Redefine premium beyond price by delivering personalized digital experiences and elevated ownership for every consumer



Impacts

THB 19.1bn
Incremental Cumulative Revenue Over Next 3 Years

+100 bps of SAM
And Cement Market Position

+9.2% Average Order Value
By Year 3



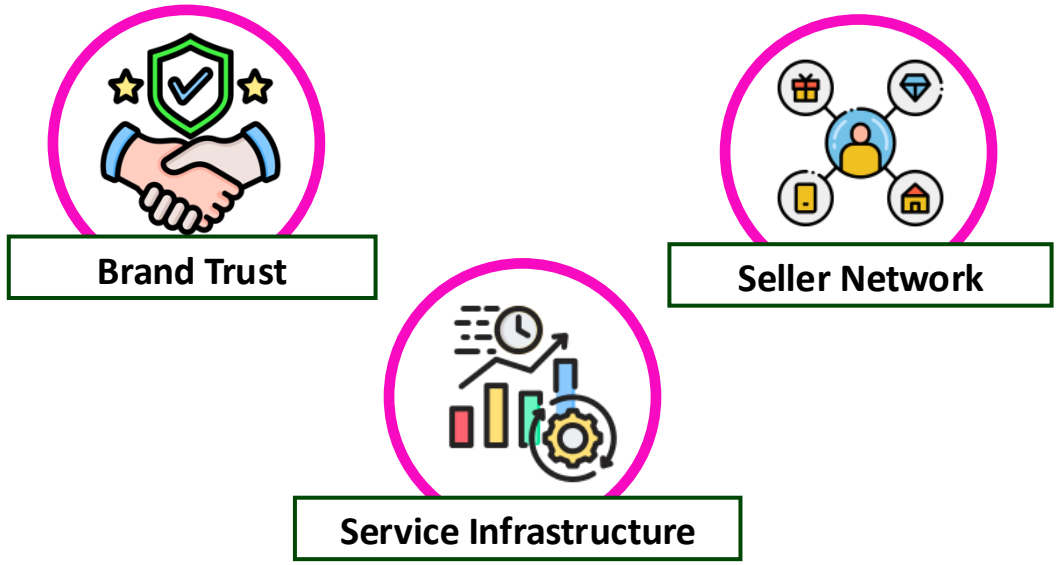
Trust is at the Core of LazMall's Right to Win

LazMall has established **strong consumer trust** through reliable service and strong brand relationships

Authenticity alone is no longer differentiated as competitors increasingly offer similar official-brand guarantees and assurances

Premium consumers increasingly **prioritize convenience, exclusivity, speed, and superior service** over discounts alone

Leveraging Core Competencies



Key Goals

1. **Differentiate LazMall**
   Create a differentiated buyer-brand experience beyond authenticity alone

2. **Capture Premium Growth**
   Increase loyalty among both high-income and upwardly mobile consumers

Leverage LazMall's existing trust advantage to create a differentiated premium customer experience

LazMall Must Extend its Trust Advantage Beyond Authenticity

Competitive Strongholds

1

Shopee competes through value driven commerce through broad selection, aggressive promotions, and marketplace scale

2

TikTok Shop leads product discovery through creator content, social engagement, and entertainment driven commerce

3

LazMall differentiates through trust with authenticity guarantees, verified brands, reliable service, and returns

Strategic Implications



Avoid a Race to the Bottom

Competing primarily on price and promotions puts LazMall directly against Shopee's established strength [1]



Rising Demand for Home & Living E-Commerce

Building another entertainment engine forces LazMall to compete where TikTok has structural advantages [2]



Bureaucratic Support for Innovation

LazMall can evolve existing consumer trust into a differentiated premium shopping experience

Defining the Path to Sustainable Premium Growth

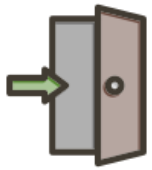
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High Consumer Retention



Create recurring value beyond discounts that gives consumers a reason to consistently return to LazMall

Premium Experience



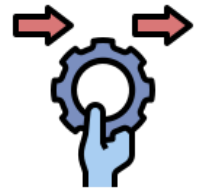
Make every LazMall interaction feel premium through superior trust, convenience, service, and personalization

Aspirational Accessibility



Deliver premium value to both today's affluent consumers and tomorrow's upwardly mobile consumers

Trust Reinforcement



Build upon LazMall's existing trust advantage rather than competing primarily on price or entertainment

Redefining Premium Beyond the Price Tag

Premium is Defined by the Experience, Not the Price

Personalized Digital Experience



Personalized Discovery

AI driven personalization has been shown to significantly improve retention among Thai online shoppers [1]



Trusted Decision-Making

73% of Thai consumers choose brands when they trust that the experience will consistently meet their expectations [2]



Individualized Access

81% of APAC shoppers want AI powered shopping tools to support product discovery and purchasing decisions [3]

Elevated Ownership Experience



Premium Fulfillment

90% of Thai shoppers prioritize fast, free delivery and easy returns when shopping online [4]



Assured Ownership

60% of Thai shoppers abandon purchases when their preferred return options are unavailable [5]



Differentiated Access

Higher income consumers increasingly value exclusivity, convenience, speed, and superior service over discounts alone

Source: [1] Mahidol University, [2] Ispos Thailand, [3, 4, 5] DHL

Meet Pim, LazMall's Next Premium Consumer

Pim



27 | Bangkok | Working Mother | Emerging Affluent

01 Quality Conscious[1]

Thai millennial mothers prioritize **practicality, affordability, and versatility**, balancing product quality with price

02 Family Focused[2]

Thai Gen Z and Y parents are increasingly investing in their children, with spending on **developmental products growing 15%** as quality becomes a greater priority

03 Trust Driven[3]

With **73% of Thai consumers choosing brands because they know the experience will be good**, Pim prioritizes trusted and reliable experiences when shopping for her family

04 Upwardly Mobile[4]

At ages **27 to 30, Thai Gen Z earn ฿35,068 per month on average**, positioning Pim within a generation whose purchasing power and premium needs are continuing to evolve

Source: [1, 2] TJO, [3] Ispos Thailand, [4] Krungskri

The LazMall Select Subscription

Redefine premium beyond price by delivering personalized digital experiences and elevated ownership for every consumer

Once Pim trials the new LazMall Select subscription, she taps into a new, elevated online shopping cycle that offers a premium experience

Lazada

Pim



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Your average customer is a frequent online shopper of several platforms, drawn into LazMall through a free subscription trial

Pim



27 | Bangkok | Working Mother | Emerging Affluent

Awareness



Cycle



Pim starts off her journey with LazMall Select through a new searching experience that reduces decision friction

Lazada

Pim





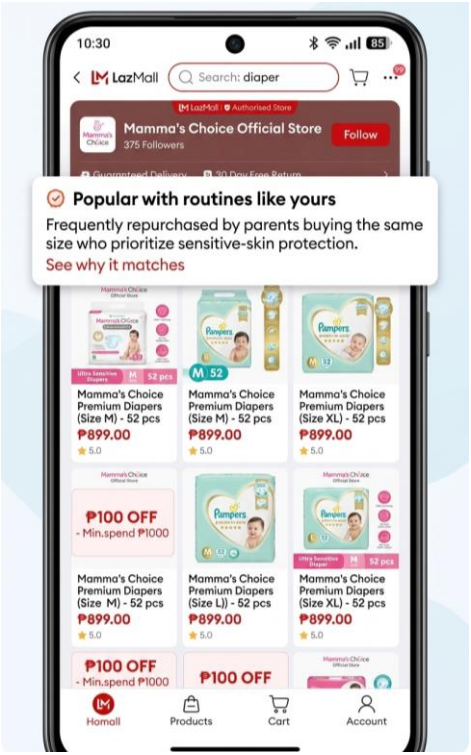
Lazada uniquely combines highly personalized product recommendations with a holistic, top-choice LazPick catalogue



SEARCH

As a semi-frequent LazMall user, Pim begins searching for products and sees two search categories

Personalized Browsing Experience



Tailored Products

Using her browsing and purchase history, LazMall suggests the best options

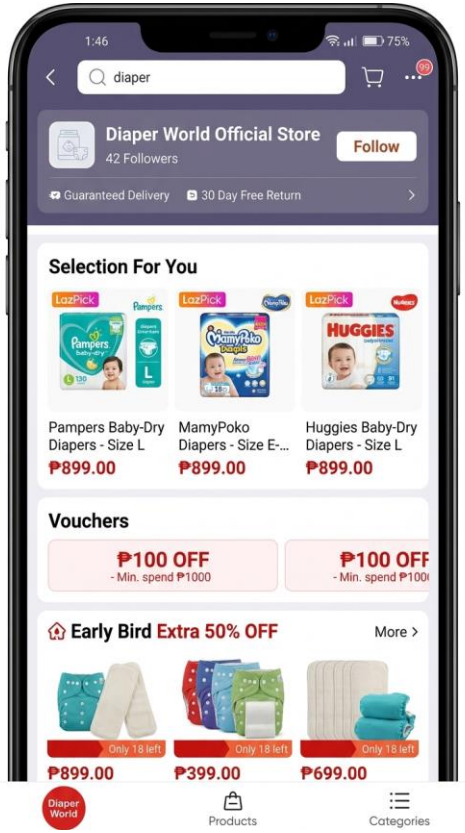
Unique Homepage

Rather than viral or popular options, Pim sees products that are the best fit

Demand for Personalization

54% of Thai consumers were willing to share data for personalization[1]

Holistic Product Recommendations



LazPick Select Products

LazPick simplifies the selection process and allows for expedited shipping

Community-based Trust

Seeing that other parents have purchased a product reduces uncertainty

Demand for Authenticity

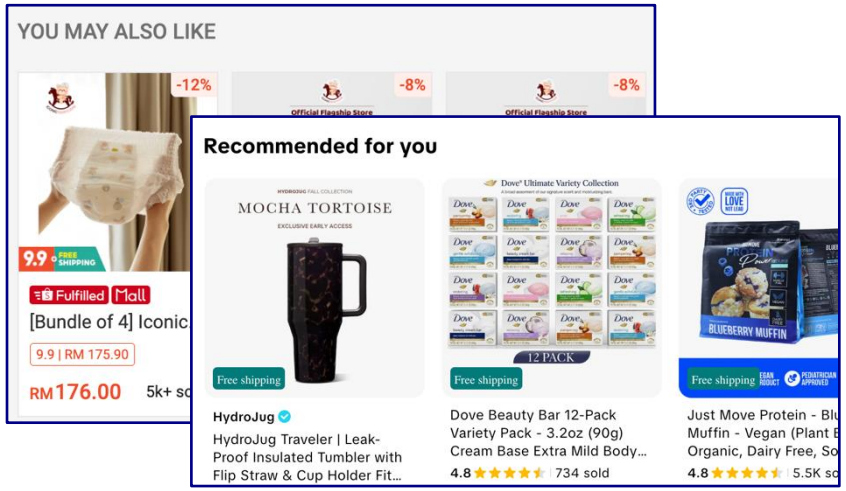
86% of Thai consumers say real recommendations influence their decisions[2]

Source: [1] McKinsey, [2] Ipsos

Unlike conventional engines optimized for the next click, LazMall uses a holistic framework to anticipate each user's next buy

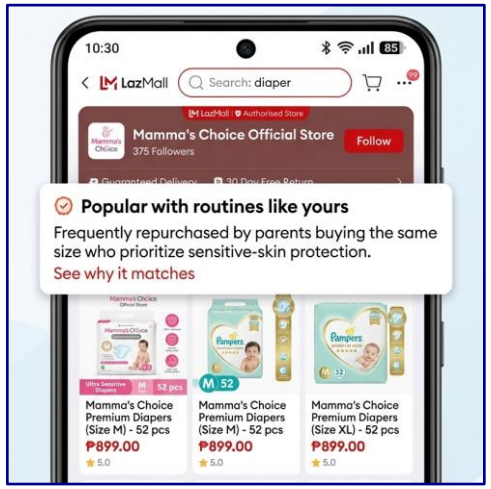
SEARCH Transforming purchase data into personalized trust, retention, and loyalty.

General Rec Engine



- Maximize the likelihood of the next click or purchase
- Derived from users' recent searches, clicks, cart additions, and general interests
- Occurs while the customer is browsing

LazMall Rec Engine



- Identify the product most likely to become part of the customer's routine
- Learns users' replenishment cycles, purchase criteria
- Before expected need or at replenishment

Metrics Considered

1. Purchase priorities
2. Category-level price comfort
3. Current needs
4. Brand preferences
5. Replenishment rhythm

Source: [1] Shopee Mall, [2] TikTok Shop, [3] Image generated by Nanobanana

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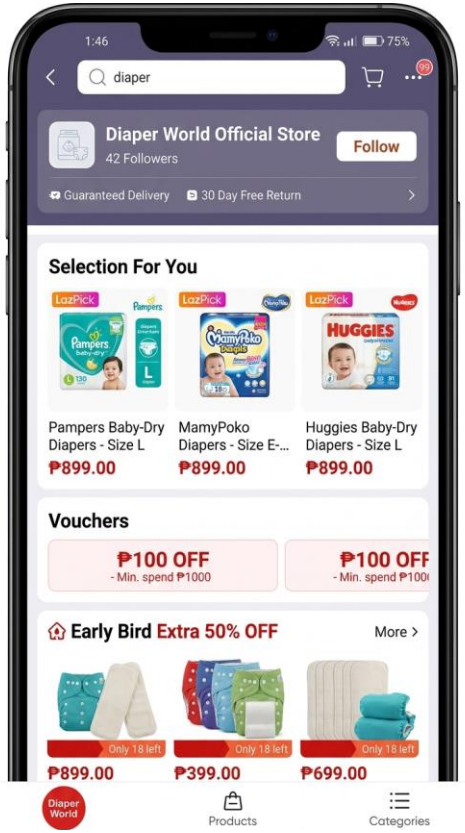
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Lazada converts demand forecasts into selectively owned LazPick inventory, positioned near customers for reliable, faster fulfillment

SEARCH Turn predictable demand into LazPick items with reliable availability and faster fulfillment



1 Aggregate demand across customers

Lazada combines millions of individual predictions to **estimate demand** by metrics such as product/ SKU, week/ month, region, customer segment, and more



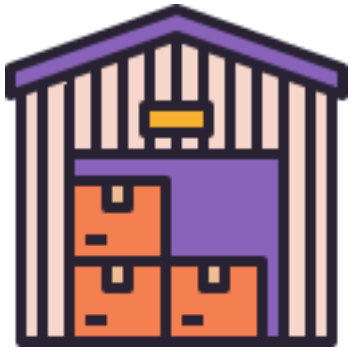
2 Apply inventory qualification

Not all inventory should be bought, Lazada will assess it on 3 metrics: **demand confidence**, **product confidence**, and **commercial confidence**



3 Purchase selected inventory

For qualifying SKUs, Lazada purchases a defined volume directly from the brand at **wholesale terms** and **takes ownership of that inventory**



4 Position near predicted demand

Lazada places selected inventory within its **existing warehousing** according to **regional demand forecasts** to control fulfillment speed and product availability

Selective inventory ownership gives Lazada end-to-end service control while strict qualification gates keep the financial risk bounded

SEARCH Convert predictable demand into shared value across the ecosystem

What The Risk Buys Lazada

Reliable Availability — Keep essential products available when customers are predicted to need them[1]

+

Immediate Service — Replace damaged or incorrect products directly from available inventory

+

Greater Customer Value[1] — Negotiate volume discounts and pass it on to members, strengthening loyalty

Turn what customers already buy into something more affordable and reliable

Benefiting the Ecosystem

Brands Receive

- Predictable purchase commitments
- Better demand and replenishment forecasts
- Greater visibility among relevant customers

Lazada Receives

- Greater control over availability and service[2]
- Higher repeat-purchase frequency
- Greater customer retention and lifetime value

Case Study

JD.COM

Directly purchases products from manufacturers and suppliers, stores inventory within its fulfillment network

Same-day or next-day delivery for qualifying in-stock products, resulting in better customer experience

Source: [1] Kibocommerce, [2] Lazada

Once Pim settles on a product, she experiences premium benefits for being a Select member in her check-out process

Lazada

Pim

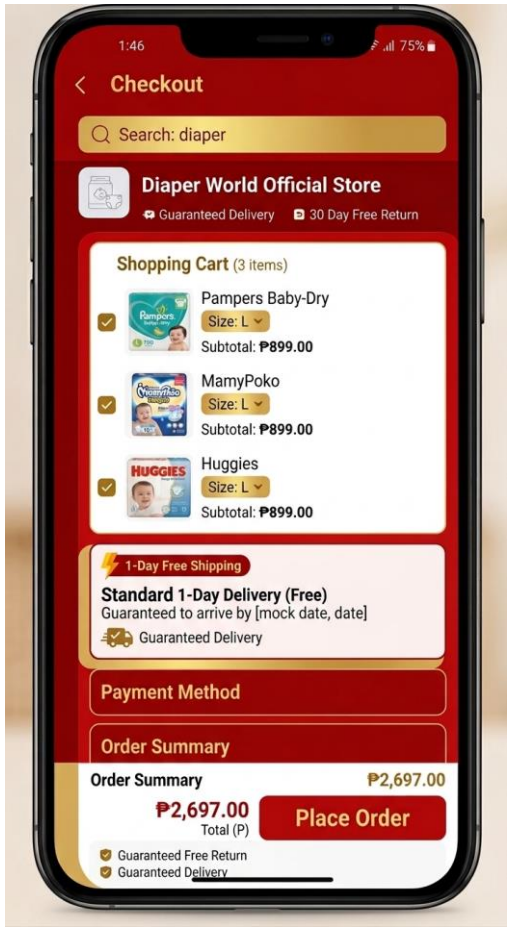




Subscription benefits flow through the checkout process with free, one-day shipping on LazPick products



SECURE As a subscriber, Pim gets access to free, one-day shipping on LazPick products, which are local favorites



Why Free Shipping Matters

Addressing User Needs

66% of shoppers abandon purchases when shipping doesn't meet expectations[1]

Speed Feels Premium

Most consumers value cheaper shipping to speed, so LazMall's one-day delivery feels like a premium benefit[2]

Case Study

adidas

After working with DHL to offer same or next-day delivery options, Adidas Thailand saw a **40% increase in online revenue**[3]

Source: [1] DHL, [2] McKinsey, [3] CEP Research

If any issues arise with her order, Pim gets access to fast, comprehensive customer support

Lazada

Pim





LazMall subscribers receive a premium customer support experience post-checkout



SUPPORT

If any issues arise with her product, Pim experiences hassle-free returns and replacements

mockup

24/7 Customer Support

Subscriber returns are **instantly processed** by LazMall instead of through the seller

Free Shipping on Returns

If choosing drop-off returns, **all fees** are covered by LazMall

Same-Day Replacements

Once products are marked as dropped off, LazMall will ship out a **replacement on the same day**

Why does after-sale service matter to Lazada?

Service-Recovery Determines Trust

Across Thai consumers, a positive return accounts for **72% of the overall experience** with faulty products[1]

Premium Experiences Exceed Checkout

Extensive post-purchase strategies influence customer loyalty **just as much** as a high-quality product [2]

Source: [1] Thai Journal Online, [2] Deloitte

LazMall sustains Select's premium experience post-sale, both in products Pim routinely buys and wants to upgrade

Lazada

Pim

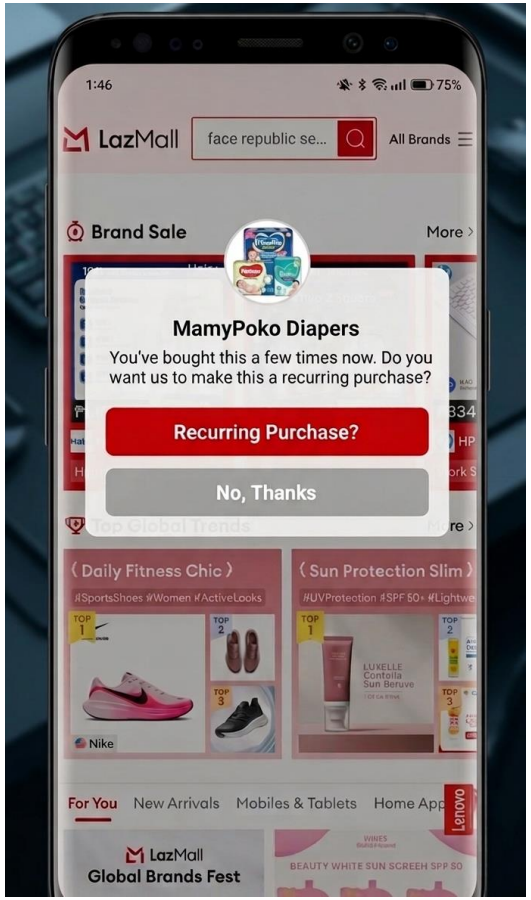




LazMall subscribers receive a premium customer support experience post-checkout



SUSTAIN | **After repeatedly purchasing the same product multiple times, Pim is able to subscribe to her favorites**



Encourage Platform Loyalty

LazMall subscribers can opt into **product-specific subscriptions** that are automatically purchased on a calculated basis

Users benefit from **savings** on each order when subscribed and a **worry-free** experience

Promote High Spend Products

To meet consumer demand for premium products alongside rising user income, LazMall can **highlight elevated options**

Users who want to begin purchasing higher-end products can find **similar, but better options**

LazMall can target both **high-income** users **set** in their purchasing habits and users with **growing incomes** seeking **more premium products**

Source: [1] Thai Journal Online, [2] Deloitte

LazMall Select turns platform trust into compounding loyalty, attracting premium buyers while growing with aspiring customers

Lazada

Pim





LazMall Select turns platform trust into compounding loyalty, attracting premium buyers while growing with aspiring customers



LazMall Select turns platform trust into compounding loyalty, attracting premium buyers while growing with aspiring customers.



LazMall Select

The Premium Experience

This strategy will allow LazMall Select to excel beyond these non-negotiable pillars for success

Lazada

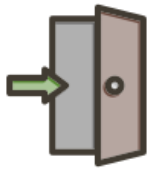
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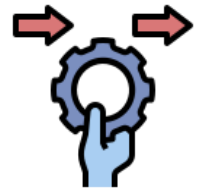
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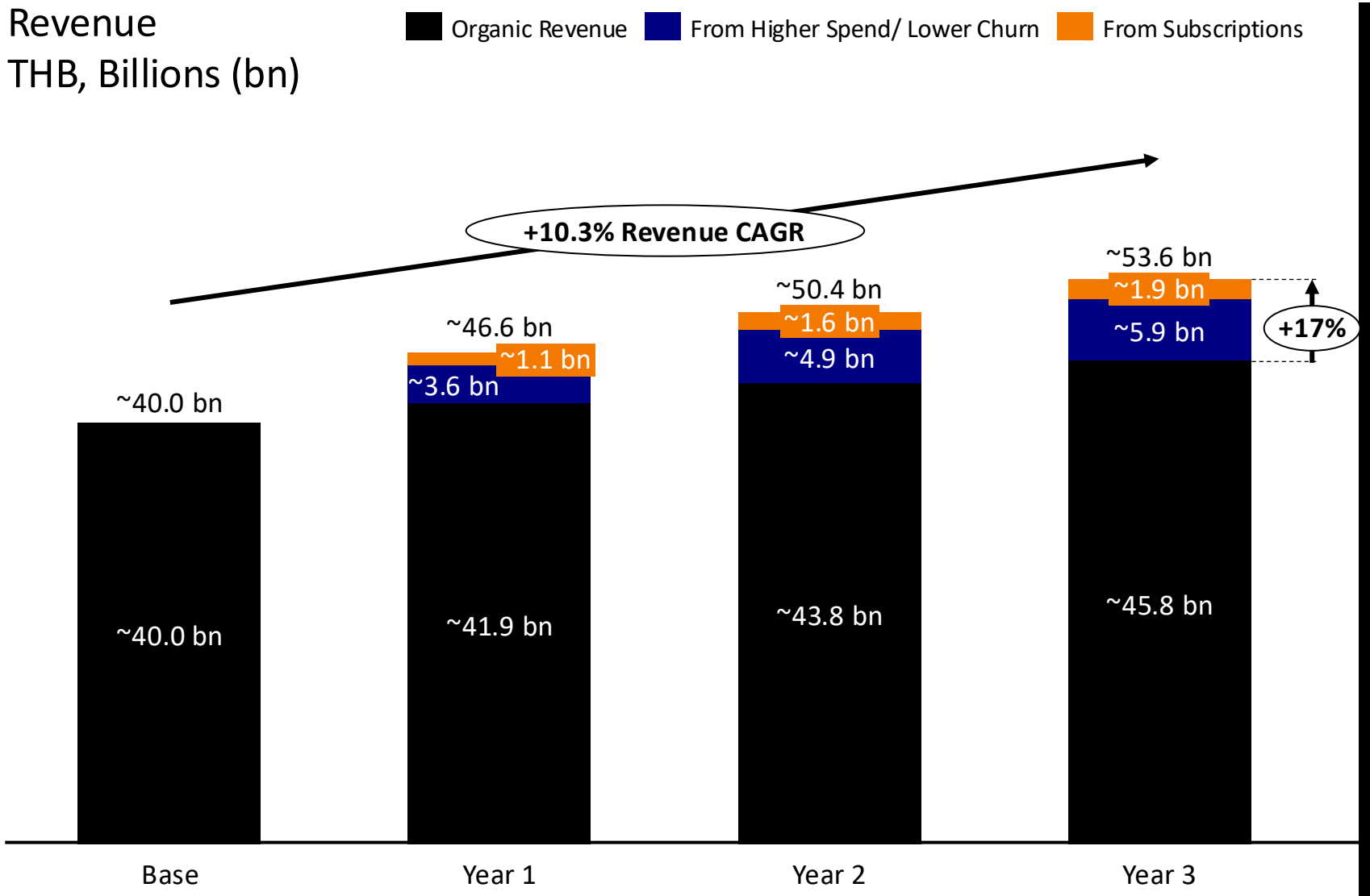
Build upon LazMall's existing trust advantage rather than competing primarily on price or entertainment

Impact

Achieving comprehensive growth of LazMall
with a new LazSelect subscription

Lazada can earn an incremental THB 19 billion over 3 years, with 75% from higher spend/lower churn and 25% from subscriptions

Revenue
THB, Billions (bn)



Key Data Points

~2 of 9.5 items/order shifted to LazMall items at ~10% premium

Improved retention retains an incremental ~0.5% of customers annually

10% subscription penetration at THB 800 annual fee

Lazada can expect THB 18.4bn in incremental costs, with THB 0.13bn project-specific and the rest mainly from COGS

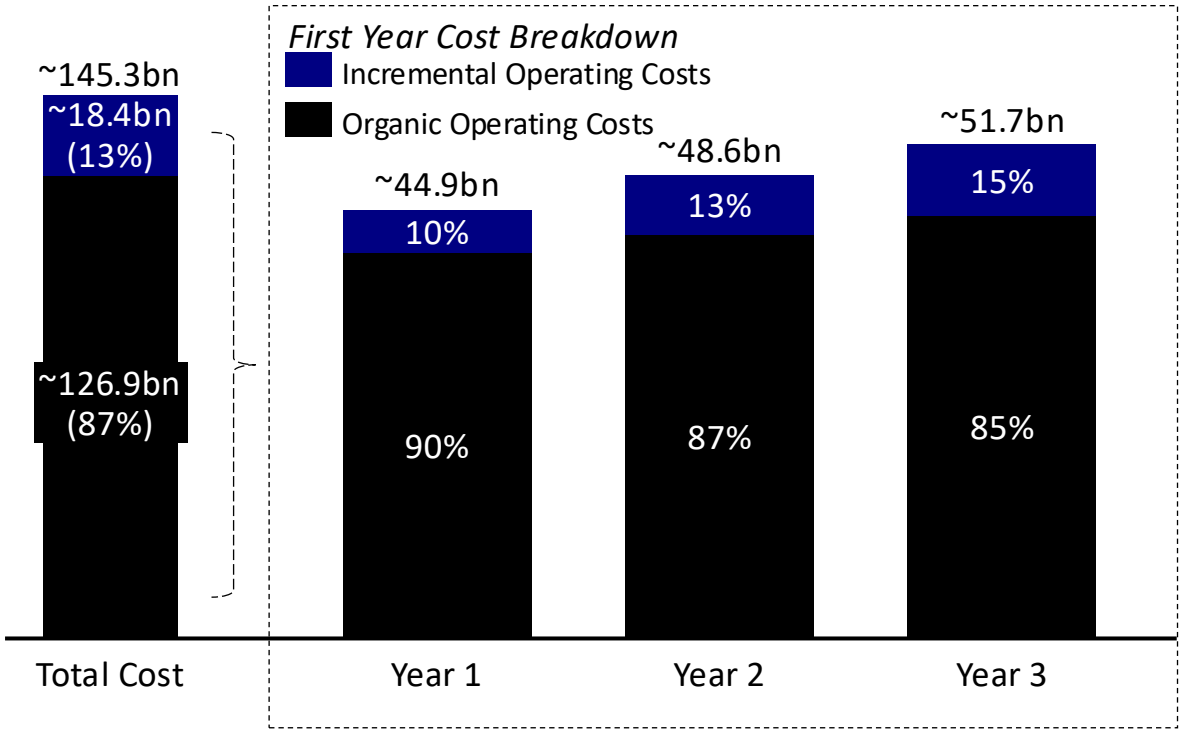
Major Cost Categories

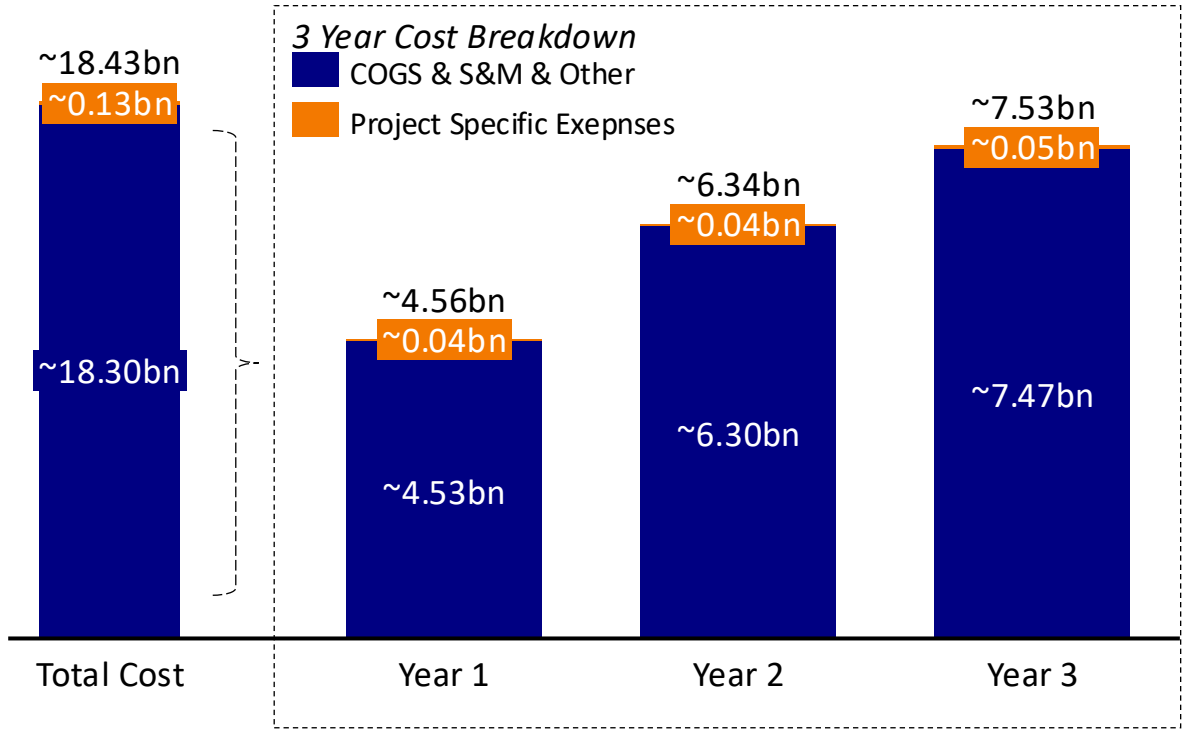
Product & Operating Costs scale with revenue

- *COGS rises from 68.7% to 69.3% of revenue*
- *Operating margin remains stable at ~3.5%*

Project Specific Expenses

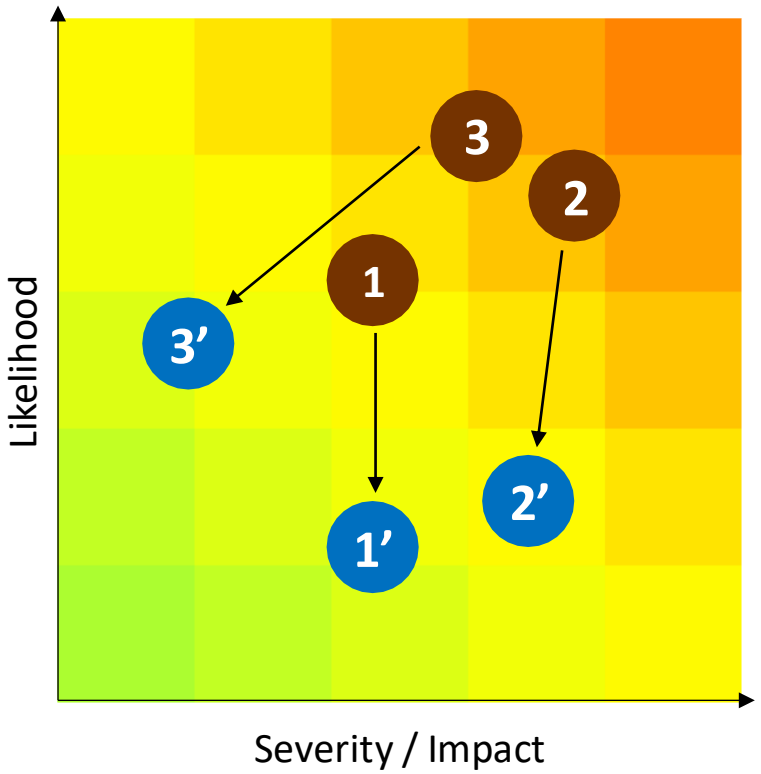
- *Project-specific expenses are mainly upfront staffing costs, including project managers, product selectors, and support teams*





Understanding Potential Risks of the Strategy

RISK Matrix



RISKS

1. **Inventory Risk:** Demand misses lead to excess stock and markdowns.
2. **Trust Risk:** Weak recommendations damage confidence in LazMall Select.
3. **Adoption Risk:** Customers still choose mainly on price, limiting retention gains.

MITIGATION

1’ Start with limited SKUs in predictable, high-repeat categories and scale based on sell-through.

2’ Use clear selection criteria and remove products with poor satisfaction or repeat rates.

3’ Target high-frequency users first and pair Select with stronger delivery and return benefits.

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Situational Analysis



M1



M2



M3



M4

Strategy



M5



M6



M7



M8

Strategy



M9



M10

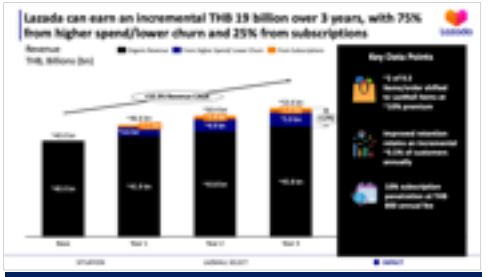


M11

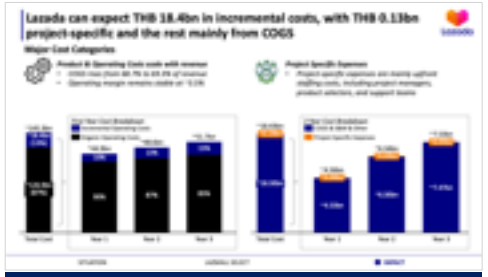


M12

Impact



M13



M14



M15



M16

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A1: Product Discovery Process For Premium Lifestyle Goods in Thailand

For premium lifestyle goods in Thailand, influencers are important for discovery, aspiration, and product demonstration, but they are usually not enough on their own to close a higher-consideration purchase. The strongest conversion mix is: **credible specialist influencer → authentic customer reviews and peer word of mouth → official-store proof, warranty, and return assurance**.

Signal	Role in the journey	Relative importance for premium lifestyle
Specialist influencers / creators	Discovery, education, aspiration, showing product use in real life	High—if they have demonstrable category expertise and are transparent about sponsorship
Friend, family, and community recommendations	Final reassurance and risk reduction	Very high, particularly for expensive products or unfamiliar brands
Verified buyer reviews	Validation of actual quality, fit, durability, delivery, and after-sales experience	Very high—especially photo/video reviews from buyers with similar needs
Official brand and LazMall status	Authenticity, warranty, product-safety, and return confidence	Essential for premium goods, beauty, electronics, and high-ticket purchases
Major celebrity endorsement	Awareness and social status	Useful at the top of funnel, but weaker for proof and detailed consideration
Platform rating alone	Quick filter	Helpful but insufficient; buyers want review substance, volume, recency, and credibility

Source: Anymind Group

A2: Comparison of Recommendation Engines

Dimension	Conventional commerce recommendation	LazMall Recommendation Engine
Core question	What will the customer click or buy now?	What will best serve the customer's next need?
Time horizon	Current session or transaction	Full purchase and replenishment cycle
Strongest outcome	Click or conversion	Kept purchase, satisfaction, and repurchase
Customer understanding	General interests and recent behavior	Category-specific rhythm, priorities, and price comfort
Similar-user matching	People who viewed or bought similar products	People with similar routines whose purchases worked over time
Product output	Large personalized feed	Small, explainable set of relevant choices
Timing	While the customer is browsing	Before expected need or at replenishment
Post-purchase data	Often used as another signal	Central to determining whether a recommendation succeeded
Operational connection	Recommends what is listed	Considers inventory, delivery, returns, and service reliability
Business objective	Engagement, conversion, or immediate GMV	Retention, repeat rate, customer lifetime value, and lower regret
Customer message	"You may also like…"	"This worked for customers with a routine like yours—and here is why"

A3: Considerations for the Recommendation Engine

Factor	What Lazada analyzes	What Pim sees
Replenishment rhythm	Time between Pim's previous purchases and predicted depletion	"Recommended for your routine—you typically reorder every four weeks."
Current need	Product category, diaper size, stated needs, and stage of use	"Recommended for your current diaper size and overnight use."
Purchase priorities	Whether Pim prioritizes price, quality, delivery speed, authenticity, or specific product features	"Matches your preference for sensitive-skin products and fast delivery."
Category-level price comfort	Prices Pim typically considers, products she buys without discounts, and previous premium trials	"A premium option within your usual price range."
Brand preferences	Brands repeatedly purchased, searched, saved, or rejected	"Similar to brands you already purchase."
Similar routines	Customers with comparable needs, priorities, price comfort, and replenishment behavior	"Parents with routines like yours frequently choose this."
Post-purchase outcomes	Whether similar customers kept, reviewed, returned, or repurchased the product	"Frequently repurchased by customers with needs like yours."
Trade-up behavior	Which premium trials Pim previously accepted, repurchased, or rejected	"You usually prioritize overnight protection—try the premium version in a five-pack."
Product reliability	Ratings, complaints, returns, authenticity, and brand service performance	"Highly rated for overnight protection with consistently positive feedback."
Availability	Current inventory, expected demand, and fulfillment reliability	"In stock and available for delivery before your expected refill date."

A4: LazPick Item Criterion

	Inventory criterion	Metric Lazada evaluates
Demand Confidence	**High repeat purchase**	Percentage of customers repurchasing within the expected category cycle
	Predictable cadence	Consistency in the time between customer reorders
	Stable demand	Low week-to-week or month-to-month demand variation
Product Confidence	**Proven product performance**	Strong sales history, high ratings, and low complaint and return rates
	Long shelf life	Sufficient time before expiration or product obsolescence
	Manageable SKU complexity	Concentrated demand in a limited number of sizes or variants
Commercial Confidence	**Reliable brand supply**	Consistent lead times and fulfillment performance from the brand
	Viable unit economics	Sufficient margin after purchasing, storage, delivery, and service costs
	Geographic demand density	Enough predicted demand near an existing warehouse

A5: How LazMall Can Adapt the JD.com Model

JD.com model	LazMall Select adaptation
Millions of self-operated products	Limited, high-confidence LazPick SKUs
Nationwide inventory infrastructure	Lazada’s existing warehouses in pilot regions
Large-scale direct procurement	Controlled, rolling purchases from selected brands
Fast delivery across broad categories	Reliable replenishment and replacement for everyday essentials

A6: Thailand E-Commerce Purchase Zones and Implications on Delivery

Zone	Buyer characteristics	Delivery feasibility	LazMall Direct implication
Bangkok + immediate metro	Highest density of premium/aspirational spend; frequent online ordering; strongest physical retail alternatives	Same-day possible for select goods; next-day broadly feasible for well-positioned inventory	Launch guaranteed next-day, time-slot delivery, premium returns, and high-touch service here
Tier-1 provincial cities	Growing middle class; demand for official brands and access to assortment beyond local retail	Usually 1–2 working days if inventory is centrally positioned and carrier capacity is reliable	Offer date-certain 1–2-day delivery, free returns, and regional campaign inventory
Secondary cities / rural or remote areas	Strong need for assortment access and trusted official sources, but lower order density	Often longer, more variable delivery; some islands/remote locations require special handling	Lead with authenticity, availability, transparent ETA, reliable returns, and stock-up bundles—not unrealistic speed promises

A7: Inventory Risk: Guardrails and Piloting

Inventory risk	Lazada's guardrail
Overstock and working capital	Own only high-repeat, stable-demand SKUs; purchase in small rolling batches with automatic reorder and exit thresholds
Forecasting error	Combine historical sales with predicted replenishment dates, then update forecasts continuously using live purchases and cancellations
Expiration or obsolescence	Prioritize long-shelf-life products, cap inventory days, and fulfill oldest eligible inventory first
Regional demand mismatch	Begin in dense markets, position inventory using regional forecasts, and rebalance stock between warehouses
Pressure to push owned products	Keep inventory economics separate from recommendation relevance; ownership cannot make an unsuitable product rank higher
Brand-channel conflict	Establish transparent selection criteria, share aggregated demand forecasts, and maintain the brand's official storefront and identity

Spectrum of Products

1. **Priority-stock agreements** for less predictable items
2. **Consignment or vendor-managed inventory** for moderate-demand items
3. **Lazada-owned inventory** for the most predictable, high-repeat products

Pilot Design

Start with 20–50 high-velocity SKUs in categories such as premium skincare, headphones, recurring purchases. Pre-position 2–4 weeks of coverage around Bangkok demand, use FBL or consignment first, and only wholesale-buy the fastest, forecastable products.

F1: Base Case

Baht in Billions		Base	Year 1	Year 2	Year 3	Year 4	Year 5
Monetisation Rate		**11.4%**	**11.4%**	**11.4%**	**11.4%**	**11.4%**	**11.4%**
Shopee		65	68	72	75	78	82
Lazada		**40**	**42**	**44**	**46**	**48**	**50**
Tiktok Shop		28	29	31	32	34	35
Thai E-Commerce Revenue		**133**	**140**	**146**	**153**	**160**	**167**
Shopee		573	600	628	657	687	718
Lazada		**351**	**367**	**384**	**402**	**420**	**440**
Tiktok Shop		245	257	269	281	294	308
Thai E-Commerce GMV		**1,169**	**1,224**	**1,281**	**1,340**	**1,402**	**1,466**
% 1YoY			4.7%	4.7%	4.6%	4.6%	4.6%
Market Penetration							
Shopee		*49.0%*	*49.0%*	*49.0%*	*49.0%*	*49.0%*	*49.0%*
Lazada		*30.0%*	*30.0%*	*30.0%*	*30.0%*	*30.0%*	*30.0%*
Tiktok Shop		*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*
mn Thai Population	millions	71.0	71.0	71.0	71.0	71.0	71.0
bn Thai Population	billions	0.0710	0.0710	0.0710	0.0710	0.0710	0.0710
E-Commerce Population		61.3%	62.3%	63.3%	64.3%	65.3%	66.3%
bps 1YoY			100	100	100	100	100
mn Thai E-Commerce Population	millions	43.5	44.2	44.9	45.6	46.3	47.1
bn Thai E-Commerce Population	billions	0.0435	0.0442	0.0449	0.0456	0.0463	0.0471
GMV Per Customer in abs. Baht		26,874	27,680	28,510	29,365	30,246	31,154
% 1YoY			*3.0%*	*3.0%*	*3.0%*	*3.0%*	*3.0%*
Average Order Valuie in abs. Baht		2,200	2,244	2,289	2,335	2,381	2,429
% 1YoY			2.0%	2.0%	2.0%	2.0%	2.0%
Average Items per Order		9.5	9.5	9.5	9.5	9.5	9.5
Average GMV per Item		232	236	241	246	251	256
Average Number of Orders per Year		12.2	12.3	12.5	12.6	12.7	12.8

Baht in Billions	Base	Year 1	Year 2	Year 3	Year 4	Year 5
Number of Customers						
Shopee	21.3	21.7	22.0	22.4	22.7	23.1
Lazada	13.1	13.3	13.5	13.7	13.9	14.1
Tiktok Shop	9.1	9.3	9.4	9.6	9.7	9.9
EBIT Margin	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Shopee						
Lazada	**1.4**	**1.5**	**1.5**	**1.6**	**1.7**	**1.8**
Tiktok Shop						

F2: PnL

Baht in Billions		Base	Year 1	Year 2	Year 3	Year 4	Year 5
BoP Number of Customers			13.1	13.3	13.6	13.9	14.2
Organic Net Adds			0.2	0.2	0.2	0.2	0.2
Incremental Customers Retained			0.1	0.1	0.1	0.1	0.1
Uplift from improved retention			0.5%	0.5%	0.5%	0.5%	0.5%
EoP Number of Customers	millions	13.1	13.3	13.6	13.9	14.2	14.5
Average Number of Orders		12.2	12.3	12.5	12.6	12.7	12.8
Average Order Value		2,200	2,291	2,349	2,402	2,457	2,512
o/w Organic			2.0%	2.0%	2.0%	2.0%	2.0%
o/w From Strategy			2.1%	2.6%	2.9%	3.2%	3.4%
Average Items per Order		9.5	9.5	9.5	9.5	9.5	9.5
Non-Affected Items		9.5	7.5	7.0	6.8	6.5	6.3
Average GMV per Item		232	236	241	246	251	256
Affected Items			2.0	2.5	2.8	3.0	3.3
Average GMV per Item		232	260	265	270	276	281
(+) Premium		0%	10%	10%	10%	10%	10%
Non-Affected Items		351	291	286	290	293	296
Affected Items		–	85	112	130	149	169
Gross Market Value		**351**	**377**	**398**	**420**	**442**	**466**

Baht in Billions	Base	Year 1	Year 2	Year 3	Year 4	Year 5
Non-Affected Monetisation Rate	11.4%	11.4%	11.4%	11.4%	11.4%	11.4%
Affected Monetisation Rate	11.4%	14.4%	14.4%	14.4%	14.4%	14.4%
Organic Revenue	40.0	41.9	43.8	45.8	47.9	50.1
From Higher Spend/ Lower Churn	–	3.7	5.0	5.9	6.9	8.0
From Subscriptions	–	1.1	1.6	1.9	2.2	2.5
Revenue	**40.0**	**46.6**	**50.4**	**53.7**	**57.1**	**60.7**
Cost of Revenue	(27.5)	(32.1)	(34.8)	(37.2)	(39.7)	(42.3)
Gross Profit	**12.5**	**14.5**	**15.6**	**16.5**	**17.4**	**18.4**
Sales & Marketing	(8.6)	(9.8)	(10.5)	(11.1)	(11.6)	(12.2)
Other Operating Expenses	(2.6)	(3.0)	(3.2)	(3.4)	(3.7)	(3.9)
Project Specific Expenses		(0.0)	(0.0)	(0.1)	(0.1)	(0.1)
Company EBIT	**1.4**	**1.6**	**1.8**	**1.9**	**2.0**	**2.2**
Margin	*3.5%*	*3.5%*	*3.5%*	*3.5%*	*3.6%*	*3.6%*
% of Revenue						
Cost of Revenue	*68.7%*	*68.9%*	*69.1%*	*69.3%*	*69.5%*	*69.7%*
Sales & Marketing	*21.4%*	*21.2%*	*20.9%*	*20.7%*	*20.4%*	*20.2%*
Other Operating Expenses	*6.4%*	*6.4%*	*6.4%*	*6.4%*	*6.4%*	*6.4%*

F3: Subscription Revenue & Project Specific Costs

Baht in Billions		Base	Year 1	Year 2	Year 3	Year 4	Year 5
Number of Customers	millions	13	13	13	14	14	14
Strategy Penetration			0.1	0.15	0.175	20.0%	22.5%
Annual Subscription Cost	baht		800	800	800	800	800
Subscription Revenue	billions		1	2	2	2	3
Salary of Project Manager	('000)		700	700	700	700	700
No. of Project Manager	('000)		10	11	12	13	14
Project Manager Cost	**('000)**		**7,000**	**7,700**	**8,400**	**9,100**	**9,800**
Salary of Support Staff	('000)		200	200	200	200	200
No. of Support Staff	('000)		40	45	50	55	60
Support Staff Cost	**('000)**		**8,000**	**9,000**	**10,000**	**11,000**	**12,000**
Salary of Product Selecters	('000)		450	450	450	450	450
No. of Support Staff	('000)		10	12	14	16	18
Product Testing Cost	**('000)**		**4,500**	**5,400**	**6,300**	**7,200**	**8,100**
Salary of Logistics Team	('000)		450	450	450	450	450
No. of Support Staff	('000)		30	35	40	45	50
Logistics Team Cost	**('000)**		**13,500**	**15,750**	**18,000**	**20,250**	**22,500**
Other Costs	('000)		3,000	3,000	3,000	3,000	3,000
No. of Support Staff	('000)		1	2	4	6	8
Other Costs	**('000)**		**3,000**	**6,000**	**12,000**	**18,000**	**24,000**
Total Cost	**bn**		**0.04**	**0.04**	**0.05**	**0.07**	**0.08**

F4: Strategy Market Share

Baht in Billions	Base	Year 1	Year 2	Year 3	Year 4	Year 5
Shopee	573	600	628	657	687	718
Lazada	351	377	398	420	442	466
Tiktok Shop	245	257	269	281	294	308
GMV	1,169	1,233	1,295	1,358	1,423	1,492
Market Share						
Shopee	49.0%	48.6%	48.5%	48.4%	48.3%	48.1%
Lazada	30.0%	30.5%	30.8%	30.9%	31.1%	31.2%
Tiktok Shop	21.0%	20.8%	20.8%	20.7%	20.7%	20.6%